

# Meta Platforms, Inc.

META NASDAQ

Buy

\$618.86 ▲ 0.34%

12M Price Target  
\$720.00

52-Week Range  
\$520.26 – \$790.80

Market Cap  
\$1.58T

## META: AI Infrastructure Bet Paying Off, Insiders Selling Rip

### WHAT HAPPENED

- META is up 7% in a week (\$578 → \$619) on light volume today, and the narrative shift is real — that 24/7 Wall St piece ("Beyond Social: Meta Is Buying the Future of Compute") captures what's happening. The market is starting to reward Meta for its massive AI infrastructure spend rather than punish it, which is a big change from 2024 when every capex announcement got the stock hammered.
- Options flow is screaming bullish — the put/call ratio is 0.39 (way more calls than puts, meaning traders are betting up), and there's unusual call buying right at \$615-620 strikes. Someone with size thinks this pops through resistance soon.

### WHY IT MATTERS

Here's what I think is really going on: META is being repriced as an "AI compute owner" rather than just an ad company, and that's a much higher-multiple business. The Apple child-safety headline is worth watching — Meta already ate its \$17B settlement on this stuff, so any similar hit on competitors is actually a relative positive (Meta got its pain out of the way). But don't ignore the insider selling — the CFO dumped ~\$2.7M in stock in a single day at \$547-549, which is below current price. That's not panic selling, but when the person who sees the internal numbers sells into strength, you take note. My read: they're managing personal tax exposure, not signaling doom, but it caps how aggressive I get here.

### POLICY & POLITICAL WATCH

Two big regulatory threads right now: (1) The Kids Online Safety Act (KOSA) framework and state-level child safety laws — the \$17B settlement referenced in today's news is the template, and any new federal law could add compliance costs but also create a moat since Meta can afford it and startups can't. (2) The EU's Digital Markets Act enforcement is ongoing, with potential fines that could hit 10% of global revenue if Meta is found non-compliant on ad targeting. On the friendlier side, the current US administration has been notably softer on Big Tech antitrust than the prior one, and any pullback in FTC aggression is a direct tailwind for META's M&A optionality (they've been blocked from acquisitions for years).

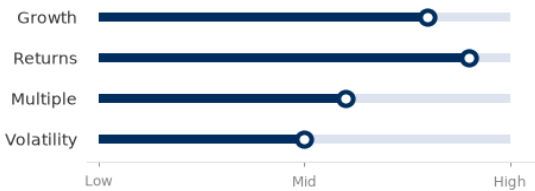
### IS IT EXPENSIVE?

At ~\$619, META trades around 22-23x forward earnings — meaning investors are paying about \$22 for every \$1 of profit expected next year. That's actually reasonable for a company growing revenue 15-18% with 35%+ operating margins. Compare to Google at ~20x and Microsoft at ~30x — META sits in the middle, which feels fair given the AI capex uncertainty. The stock is only at 36% of its 52-week range (\$520-\$790), so there's real room to run if ad revenue holds and Reality Labs losses stop widening.

### Key Data

|                     |          |
|---------------------|----------|
| Price (USD)         | \$618.86 |
| 12M Price Target    | \$720.00 |
| Upside / (Downside) | +16.3%   |
| Market Cap          | \$1.58T  |
| FY2026E Revenue     | \$195M   |
| FY2027E Revenue     | \$225M   |
| FY2026E EPS         | \$27.50  |
| FY2027E EPS         | \$32.00  |
| Fwd P/E             | 22.5x    |

### INVESTMENT PROFILE



### 12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

| TIMEFRAME | BULL CASE | BASE CASE | BEAR CASE |
|-----------|-----------|-----------|-----------|
| 1 Month   | \$650.00  | \$625.00  | \$590.00  |
| 6 Months  | \$720.00  | \$660.00  | \$560.00  |
| 1 Year    | \$800.00  | \$720.00  | \$540.00  |
| 2 Years   | \$950.00  | \$780.00  | \$500.00  |
| 5 Years   | \$1400.00 | \$1000.00 | \$450.00  |
| 10 Years  | \$2200.00 | \$1500.00 | \$400.00  |

WHAT'S MOVING IN THE SECTOR

**HEATING UP:** Utilities (+3% on the week) — that's the AI power-demand trade, and it's a direct tell that the market believes AI capex is here to stay, which validates Meta's spending. Energy is bid on the same theme.

**COOLING OFF:** Consumer Discretionary (-1.9% on the week) — softening consumer signal, which is a mild yellow flag for ad-dependent names like META (advertisers pull back when consumers do).

**ROTATION WATCH:** Money is flowing from consumer-facing names into AI infrastructure and its second-order beneficiaries (power, data centers). META sits at the intersection of "AI beneficiary" and "consumer/ad exposure" — the market is currently rewarding the first story more than punishing the second.

**RELATED PLAY:** If you believe the Meta AI capex story, the picks-and-shovels plays are the real winners — think Vertiv (VRT) for data center cooling, or Constellation Energy (CEG) for nuclear power to feed the data centers. These are less crowded than the mega-caps.

WHO'S WINNING IN THIS SPACE?

- QCOM (Qualcomm): Popping today on the Amazon AI deal — validates that hyperscaler AI spend is broadening beyond NVDA, which is good for the whole ecosystem
- GOOGL (Alphabet): Pulling back from highs but the "buy the dip" chatter is loud — closest peer to META and where their stock goes, META tends to follow

**META CONTEXT:** META is at 36% of its 52-week range, which is actually lagging the peer group — GOOGL and MSFT have held near highs. That's either a sign META has more room to catch up (my read) or that the market sees something specific to worry about (insider selling doesn't help). I lean toward "catch-up trade" here.

WHAT I'D DO WITH THIS STOCK

7/10 Conviction Score

**CONVICTION:** 7/10 — Cautiously bullish. The setup is good but insider selling and 52-week range position keep me from pounding the table.

**POSITION SIZE:** 4-6% of portfolio. Big enough to matter, small enough that a regulatory shock doesn't wreck you.

**ENTRY POINTS:** I'd nibble here and add aggressively on any pullback to \$595-610. If we get a macro fear day that drops it to \$575, back up the truck.

**TIME HORIZON:** 12-24 months. The catalyst I'm waiting for is Q3 earnings in late October — that's where the AI monetization story either gets real or gets pushed out another quarter.

**WHEN TO BAIL:** If ad revenue growth drops below 10% YoY, or if the EU drops a fine north of \$5B, or if Zuckerberg announces another massive capex ramp WITHOUT a monetization plan — any of those and I'm trimming hard.

**HEDGING:** Simplest hedge is to just size it right (don't go 10%+). If you want protection, buy a cheap put 10% below current price expiring in 3 months — that's insurance in case something breaks around earnings, and it costs you maybe 2-3% of your position.